



VIG's Potential Sale of its Stake in Eastar Jet

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Table of Contents

I. Industry Overview

1. Industry Overview
2. Competitive Landscape

II. Company Overview

1. Company Snapshot
2. Business Overview

III. Deal Overview

1. Deal Overview of VIG Partners' Initial Investment in 2023
2. Value-up Initiatives Deployed by VIG Partners
3. Sales Process of VIG Partner's Stake in Eastar Jet
4. VIG Partners' Strategy amid Air Premia M&A

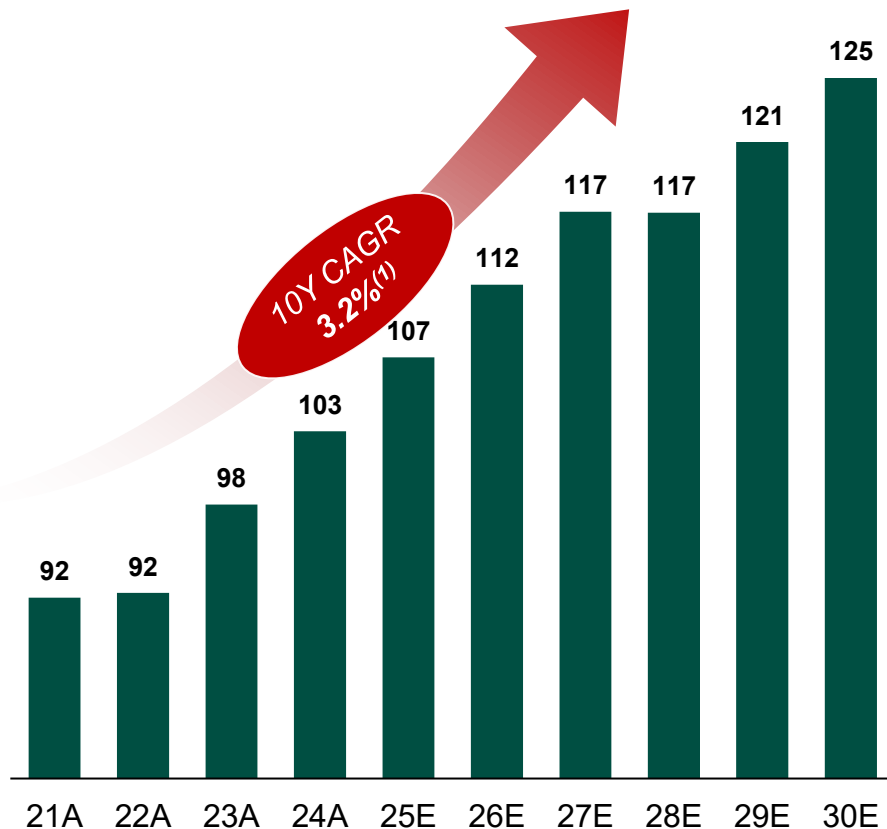
1. Industry Overview

1. Industry Overview
2. Competitive Landscape

Industry Overview

The passenger airlines industry is expected to grow continuously, with forward bookings and regulatory approvals serving as a key growth drivers of the market

Number of passengers travelled, South Korea



South Korea's passenger airline market demonstrates **resilient long-term growth**, with a projected 10-year CAGR of ~3.2%, supporting the industry's **attractive fundamentals**

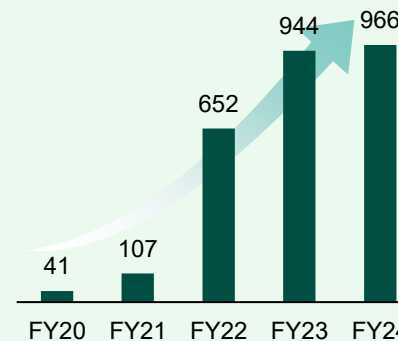
Growth drivers of the passenger airlines industry



Demand side; consumer sentiment

Domestic LCC customer advances

(KRWbn)



Definition

- Airlines recognize customer advances at **booking**
- Convert them to revenue when service is delivered

Implications

- Prepayment serves as a **proxy** for consumer sentiment

Forward demand in the aviation industry



Supply side; government certificate

1 Licensing & compliance obligations

- Airlines must comply with **fleet ownership/registration standards**, airworthiness certifications and schedule/tariff approvals



2 Air Operator Certificate(AOC) issued

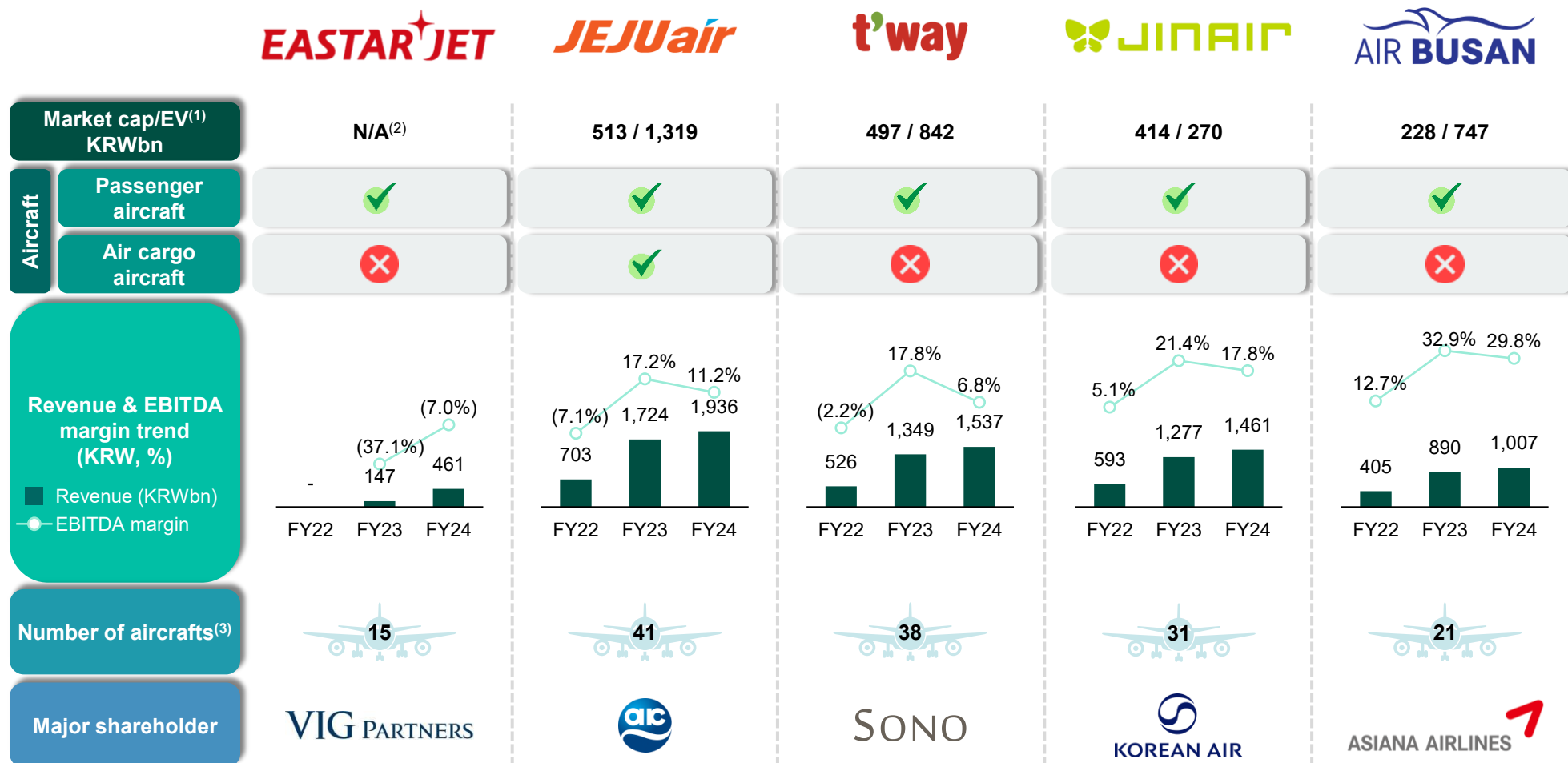
- Airlines must secure an AOC from the Ministry of Land, Infrastructure and Transport (MOLIT) to operate commercial services

Competitiveness of the industry depends on number of certificates

Competitive Landscape

Korea's LCC market's profitability diverges sharply across players, underscoring consolidation pressures and the importance of shareholder backing

Landscape of domestic competitors



Source: DART, Company Filings, Market Intelligence

Notes: (1) As of September 26, 2025; (2) Private Company (3) As of 2024

2. Company Overview

1. Company Snapshot
2. Business Overview

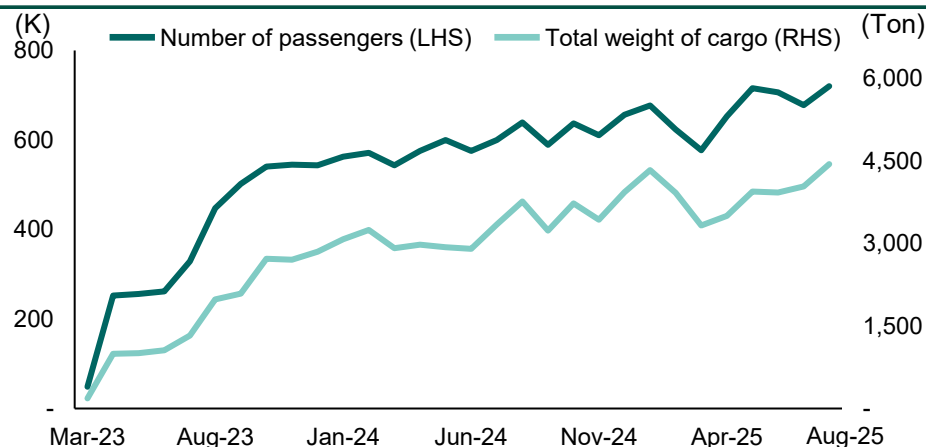
Company Snapshot

Since acquisition by VIG, Eastar Jet has successfully resumed operations, positioning itself as a revitalized LCC platform ready for strategic buyers

Company profile

- Established in 2007, Eastar Jet(or “the Company”) is a South Korean low-cost carrier headquartered in Gunsan, operating domestic and short-to-mid haul international routes
- Since launching its first Gimpo–Jeju route in 2009, the Company has expanded across Southeast and Middle Asia
- In 2020, the Company suspended all operations due to financial distress and COVID-19, then was acquired by Seongjung in 2021
- Unable to turnaround the Company, in 2023, Seongjung sold 100% of its stake of Eastar Jet to VIG Partners, which recapitalized the business and restarted operations
- As of October 2025, VIG Partners is preparing the divestiture of Eastar Jet, with Aekyung group and Sono International emerging as potential buyers

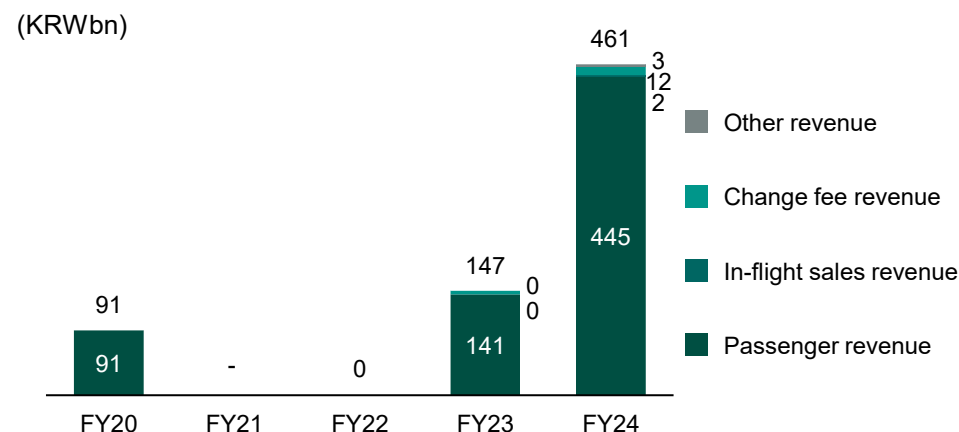
Monthly number of passengers & total weight of cargo



Key financials⁽¹⁾

(KRWbn)	FY20	FY21	FY22	FY23	FY24
Revenue	91	-	0	147	461
<i>Growth (%)</i>	(83.6%)	(100.0%)	n/m	359506.8%	214.4%
Gross Profit	(68)	(14)	(30)	(21)	12
<i>Margin (%)</i>	(75.2%)	n/m	(72637.1%)	(14.6%)	2.5%
EBITDA	(135)	(56)	(46)	(54)	(32)
<i>Margin (%)</i>	(149.3%)	n/m	(113088.0%)	(37.1%)	(7.0%)
EBIT	(138)	(60)	(49)	(58)	(37)
<i>Margin (%)</i>	(152.4%)	n/m	(119508.9%)	(39.3%)	(8.1%)
Net Income	(284)	(83)	(50)	(54)	(25)
<i>Margin (%)</i>	(314.0%)	n/m	(121816.8%)	(36.6%)	(5.5%)
Total Assets	58	51	23	134	199
Total Liabilities	405	92	70	124	214
Net Debt	8	7	11	(33)	(14)

Revenue breakdown



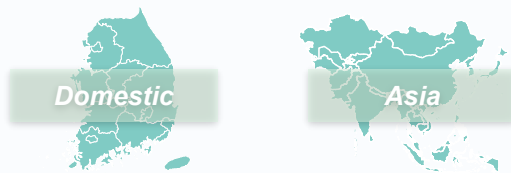
Business Overview

Eastar Jet operates a LCC model with point-to-point short/medium-haul routes, ancillary revenue streams, and a growing cargo business, positioning itself as diversified platform

Characteristics of Eastar Jet's business

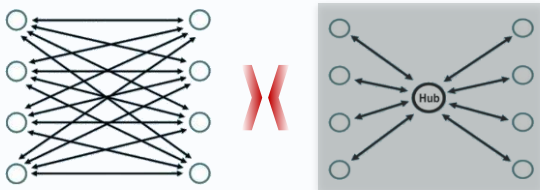
Air transport service

1 Domestic and regional focus



- Operates primarily **domestic and short-to-mid haul international routes**

2 Point-to-point flight strategy



- Network strategy favors point-to-point direct route
- Passengers can reach destinations **without hub transfers**

3 Single-class fleet

- Fleet standardized on narrow-body types
- Seating configuration limited to single-class economy.

Ancillary service

No complimentary meals

- Meals & beverages not included in fare
- Water only; snacks and drinks purchased on board

Paid baggage policy

- Checked baggage often not included or with very low allowance
- Excess baggage fees charged separately

Optional comfort items

- Blankets, cushions and other amenities available for a fee
- Services minimized to reduce cost

Final fare rises when services are added

Air cargo business

Air cargo AOC

- 2024.03.05**
- Acquired AOC
- 2025.01.15**
- Started operation



Total Cargo Management

- Modern** air cargo system
- Enables end-to-end control

1 Belly cargo method



- Utilize aircraft's lower hold for transport
- Generate additional revenue from unused space

2 Key cargo

- E-commerce goods, electronics, auto parts, apparel, and perishables

3 Operating routes

- Initiated cargo operations on the Incheon–Bangkok route, expanding to Tokyo, Osaka, Taipei, Shanghai, and Zhengzhou



3. Deal Overview

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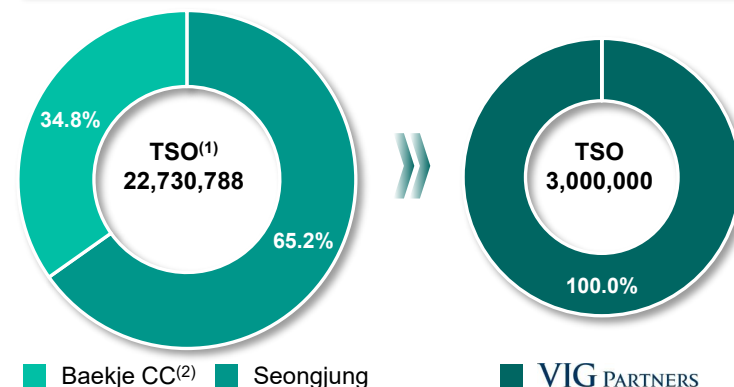
Deal Overview of VIG Partners' Initial Investment in 2023

VIG Partners acquired Eastar Jet at a distressed valuation, utilizing fresh capital to restart operations and positioning the company for outsized turnaround returns

Deal Dynamics



- 21A ○ Seongjung participates in KRW70bn rights issue of Eastar Jet
- Seongjung provides long-term borrowing of KRW43bn
- 23A ○ VIG Partners acquires 100% stake in Eastar Jet
- VIG Partners participates in KRW110bn rights issue of Eastar Jet



Valuation metrics

- With 2022 sales of KRW 41mn and negative EBITDA, traditional EV/EBITDA or EV/EBITDAR⁽³⁾ metrics are **not applicable**
- Given the company's special situation, **EV/No. of Aircraft** is suggested as an alternative multiple



Deal rationale:

- Aimed to create **vertical integration** with MyRealTrip
- Acquisition at a **distressed entry price**, with most capital allocated to restart operations, creates potential for **outsized turnaround returns**



Eastar Jet Deal terms (2023)

Share acquisition	100.0%	
Acquisition price	KRW 35bn	
Multiple ⁽⁴⁾	Implied equity value	35bn
	Implied enterprise value	46bn
	EV/EBITDA	n/m ⁽⁵⁾
	EV/EBITDAR	n/m
	EV/No. of Aircraft	15.3x
Total Invested Capital	KRW 145bn	

Value-up Initiatives Deployed by VIG Partners

VIG Partners drove Eastar Jet's turnaround via operational restart, fleet renewal, financial restructuring, and fuel cost optimization

Top-line improvements

1 Operational restart

In Feb 2023, Eastar Jet has reacquired its AOC

1 Reopening of domestic routes

- Prioritized the Gimpo–Jeju route, deploying up to 6 aircraft on the domestic network to rebuild utilization and retain airport slots

2 Entering international routes

- In late 2023 the first Korean carrier to launch the Tokushima route
- In April 2024 and the first LCC to enter the Almaty route

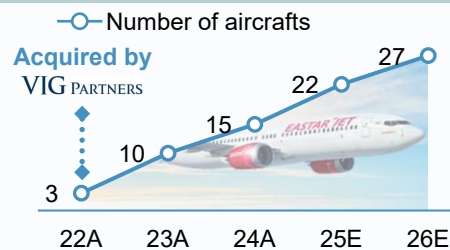
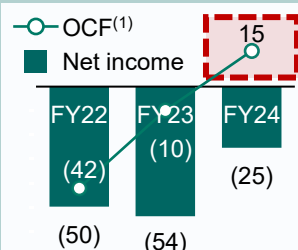
2 Improvements in asset base

1 Fleet expansion

- With VIG Partner's funding, Eastar secured used Boeing 737-800s in a tight global aircraft market

2 Fleet modernization

- Eastar placed orders for brand-new Boeing 737 MAX 8 jets, having the highest new aircraft ratio



Bottom-line improvements

Financial restructuring

1 Improving financial ratios

- VIG partners **recapitalized Eastar Jet** eliminating capital erosion and clearing liabilities

Current ratio

7.8%



57.7%

Debt-to-Assets ratio

299%



107%

- VIG partners participated in rights issue 2023 and 2025, expecting **equity to turn around** in 2025

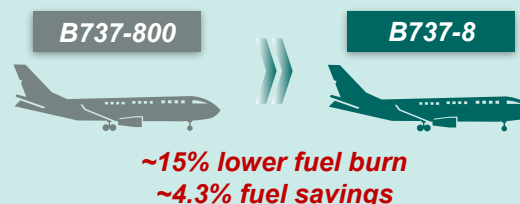
Cost efficient operations

1 Energy efficient modern fleets

- New B737-8 aircrafts compared to B737-800, deliver **lower fuel burn**, driving fuel cost savings and reduced emissions

2 Implementation of Fuel Analytics program

- Eastar Jet adopted Boeing's Fuel Analytics program which provides **actionable solutions** for fuel consumption

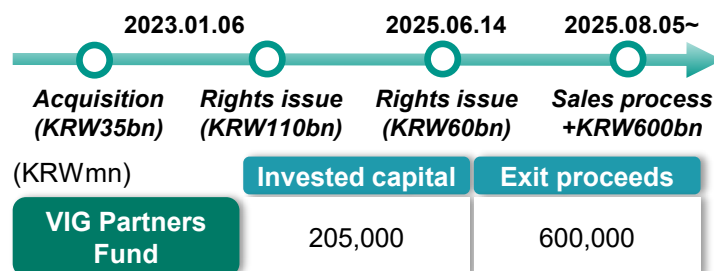


Sales Process of VIG Partners' Stake in Eastar Jet

While VIG Partners aims for a high-return exit (75% IRR, 4.4x MOIC), strategic buyers are facing capital and leverage constraints

Potential buyer universe & return of VIG Partners investment

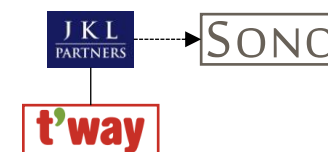
Company	Subsidiary	Deal rationale	Deal rationale
	JEJUair	- Aekyung group needs to expand its external size ahead of a planned launch of a mega LLC - Both operate the B737 platform, enabling quick integration	- Group's recent focus is on divesting Aekyung Industrial to improve its financial health - EBITDA/interest expense: FY24-3.01x, 1H25-1.5x
SONO	t'way	- With the recent acquisition of T'way air by Sono International, additional M&A would assure stabilization and growth - Integration of hospitality with additional aviation brings synergies	- Sono International has already borrowed huge amounts of debt to finance its acquisition - Total Debt: FY23-KRW295bn, FY24-KRW715bn



Expected deal term⁽²⁾

<i>Divested Stake</i>	100%	
<i>Divestiture price</i>	KRW 600bn	
<i>Expected multiple⁽²⁾</i>	Implied equity value	KRW600bn
	Implied enterprise value	KRW586bn
	EV/No. of Aircraft	39.0x
IRR	58.1%	
MOIC	2.93x	

Recent M&A case

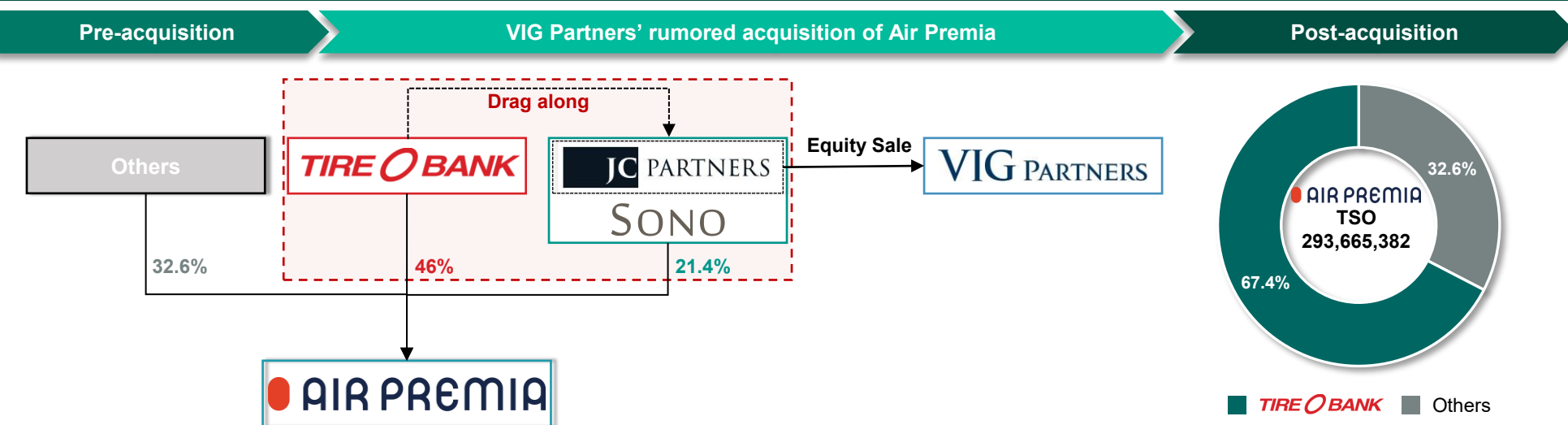


Date	Jun-24	
Divested Stake	14.9%	
Divestiture price	KRW 106bn	
Expected multiple	Implied EqV	KRW709bn
	Implied EV	KRW760bn
	EV/EBITDA	3.26x
	EV/No. of Aircraft	25.3x

VIG Partners' Strategy Amid Air Premia M&A

Funding issues in the Air Premia deal opened a window for VIG Partners to scale Eastar Jet via bolt-on growth and position it for an attractive exit

Potential & actual sales process of Air Premia



Financing issues for acquisition

- Tire Bank Chairman Jungyu Kim was arrested in July on charges of tax evasion
 - SuccessMakers, potential acquirer of Air Premia, lacks financial capacity to fund the transaction
- Transaction value**
- | KRWbn | Unpaid | Pre-paid |
|-------|--------|----------|
| 99 | | |
| 20 | | |

Deal structure of rumored acquisition

- With Tire Bank facing **funding constraints**, VIG Partners emerged as a potential acquirer of Air Premia
- JC Partners, the second-largest shareholder with **drag-along rights**, was considering selling **both its own stake and Tire Bank's stake** to VIG Partners

Strategic exit opportunities amid consolidation

- Industry consolidation tailwinds**
- The Korean Air-Asiana merger will form a mega LCC, driving consolidation and pressuring other LCCs to scale or partner
- Attractive exit optionality**
- VIG Partners' interest in Air Premia highlights its view of Eastar Jet as a bolt-on platform with strong appeal to future strategic buyers

Industry consolidation creates a supportive exit environment, positioning Eastar Jet as a timely and attractive asset for strategic buyers



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